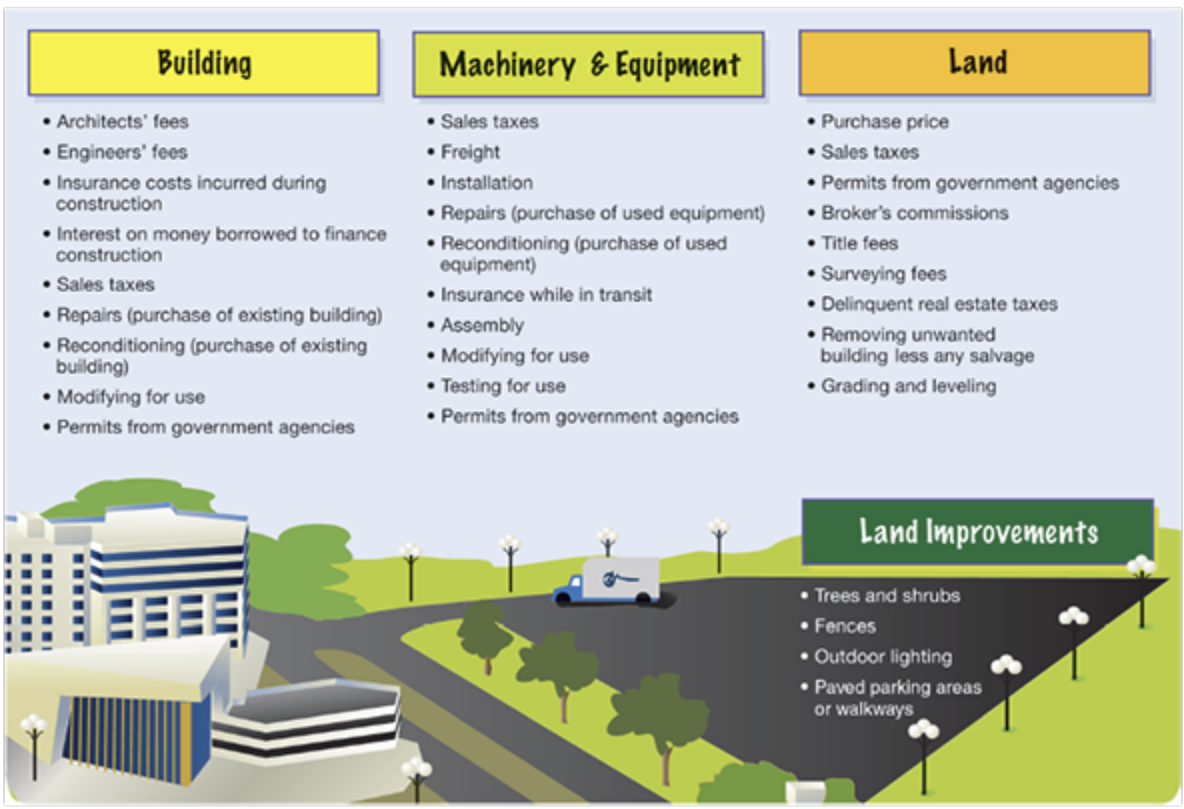
9-1b The Cost of Fixed Assets

In addition to purchase price, the costs of acquiring fixed assets include all amounts spent getting the asset in place and ready for use. For example, freight costs and the costs of installing equipment are part of the asset's total cost.

Exhibit 2 summarizes some of the common costs of acquiring fixed assets. These costs are recorded by debiting the related fixed asset account, such as Building, Machinery and Equipment, Land, and Land Improvements.

Exhibit 2

Costs of Acquiring Fixed Assets



Only costs necessary for preparing the fixed asset for use are included as a cost of the asset. Unnecessary costs that do not increase the asset's usefulness are recorded as an expense. For example, the following costs are included as an expense:

- Vandalism
- Mistakes in installation
- Uninsured theft
- Damage during unpacking and installing
- Fines for not obtaining proper permits from governmental agencies

To illustrate, assume Kimble Inc. purchased equipment for $12,000. Freight costs of $600 were incurred to transport the equipment to the installation site. On site, installation costs of $1,500 were incurred, including $500 due to an error in installation. The journal entry to record the equipment is as follows:

Equipment ($12,000 + $600 + $1,500 – $500)	13,600	
Cash		13,600

Assets		=	Liabilities	+	Stockholders' Equity
Cash	Equipment				
13,600 (credit)	13,600 (debit)				

The cost of the error in installing the equipment of $500 is not included in the cost of the equipment, but instead is recorded as an expense.

A company may incur costs associated with constructing a fixed asset such as a new building. The direct costs incurred in the construction, such as labor and materials, should be capitalized as a debit to an account entitled *Construction in Progress*. When the construction is complete, the costs are reclassified by crediting Construction in Progress and debiting the proper fixed asset account such as Building.